



STOCK MARKET VOLATILITY

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Stock Market Volatility Today

Today's stock market volatility stems primarily from President Trump's nomination for the next Federal Reserve Chair, which has been interpreted as a hawkish shift that could signal tighter monetary policy ahead. This has triggered
10 a broader risk-off sentiment, with the U.S. Dollar Index (DXY) rallying and pressuring equities. The S&P 500 fell about 0.7%, the Nasdaq Composite dropped 0.9%, and the Dow Jones Industrial Average declined 0.9%, putting all major indexes on track for their third straight weekly loss
15 despite potential January gains overall. The Volatility Index (VIX) surged 13%, reflecting heightened uncertainty across equities and Treasuries. Adding to the pressure, Microsoft's post-earnings plunge (down over 10% in after-hours yesterday) dragged tech stocks lower, as investors questioned
20 Big Tech's massive AI spending amid slowing revenue growth. Broader factors include month-end positioning and ongoing concerns over inflation data, like the Producer Price Index (PPI), which contributed to intraday swings. The S&P 500 tested key support around 6900 but pulled back from all-

25 time highs near 7000, highlighting psychological resistance amid seasonal February volatility.

Crypto Market Volatility Today

30 The crypto market experienced extreme turbulence, with Bitcoin (BTC) crashing nearly 6% to a low of around \$81,000 before recovering slightly to \$82,000. This triggered over \$1.7 billion in liquidations across the sector, mostly long positions (93%), marking one of the largest leverage flushes since the 2024 ETF rally. Ethereum (ETH) also dropped over
35 6% to about \$2,737. Spot Bitcoin and Ethereum ETFs saw massive outflows of \$818 million and \$156 million, respectively, amplifying the sell-off. The Crypto Fear & Greed Index hit a low of 16, signaling extreme fear. This downturn aligns with broader risk aversion tied to the Fed
40 nomination and a stronger dollar, which has historically pressured crypto. Funding rates remain positive (BTC at +0.14%), suggesting some traders are buying the dip, but political uncertainty around Fed leadership and ongoing deleveraging from October highs continue to fuel swings.
45 Realized volatility for BTC sits at 43.5% (7-day), within normal ranges but elevated for altcoins like Solana (57%).

Metals Market Volatility Today

Precious metals saw historic declines today, reversing much of their 2026 rally in a single session amid profit-taking and a dollar rebound. Gold plunged over 10% to below \$5,000 per ounce (from highs near \$5,600), marking its worst day since the early 1980s and exceeding drops during the 2008 crisis. Silver fared worse, tumbling 20-30% to under \$100 (from peaks above \$120), its largest daily drop on record and entering bear market territory with a 22% fall from recent highs. Other metals like platinum and copper also declined, with the sell-off sweeping broader commodities. The trigger? Trump's Warsh nomination eased fears over Fed independence, boosting the dollar and prompting massive liquidations in overextended positions. This "liquidity flush" erased much of 2026's profits in hours, with volatility feeding on itself as liquidity thinned. Discussions highlight this as a "historic meltdown," with traders noting signals like standard deviations flashing warnings days ago. Despite the crash, underlying drivers like central bank demand remain, suggesting this is a correction rather than a trend reversal.

Scarcity of Metals in the Computer Parts Industry

The computer parts industry, encompassing semiconductors, circuit boards, and data centers, faces growing scarcity of key metals driven by surging demand from AI, EVs, and renewable energy. Rare earth elements (e.g., neodymium, dysprosium) are critically scarce, with China controlling 70% of mining, 90% of processing, and 93% of permanent magnet production—essential for chips, magnets, and sensors. Export bans from China have disrupted supply chains, halting shipments for U.S. autos, tech, and defense, with no quick alternatives as stockpiles are minimal. Copper, vital for wiring and AI data centers, is projected to face a 10 million metric ton shortfall by 2040 without major supply expansions, as demand jumps 50% to 42 million tons amid electrification and tech booms. Recycling is ramping up—e-waste recovery of precious metals like gold, silver, and platinum is expected to hit \$7.4 billion by 2030, with AI and robotics improving extraction rates to 96% for gold by 2026—but it covers only about a third of needs. This scarcity poses systemic risks, potentially slowing chip production (e.g., Intel's recent supply pinch) and raising costs, while pushing diversification efforts like non-Chinese benchmarks and urban mining. Overall, it's a strategic choke-point in the global energy transition, with 2026 forecasts showing

95 persistent bottlenecks for heavy rare earths and calls for policy incentives to boost domestic capacity.